

Global Strategy

Deal or No Deal: Trading Oil & Rates Scenarios in Global Credit

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Executive Summary

A month ago, when market attention remained firmly focused on the Middle East conflict, we highlighted the evolving relationship between rates and credit as yields began to move higher globally. [Our thesis - "rates are higher, but not by enough to materially derail public fixed rate credit yet" - has held](#): over the past two months, IG/HY spreads have tightened by 17/60bp in the US and rates volatility has fully normalized, reverting close to pre-conflict levels. By contrast, while spreads rallied 18/69bp in Europe, rates volatility still remains elevated at ~1.5std above its 1y avg. Despite renewed headlines of a US-Iran deal (echoing March), we see risks in rates as two-sided, but still skewed towards widening in credit. As long as a policy regime shift is not fully priced in the US and sticky inflation concerns remain contained, tight spreads can hold. However, [weakening supply chain indicators](#) raise the risk of a more meaningful widening ahead. Additionally, stretched valuations and positioning mean that any rates relief is unlikely to drive further spread tightening. Against this backdrop, we outline how to position in 3 different scenarios for rates, alongside the rationale for taking profit on our long Europe vs. US trade.

1. Why Have Credit Spreads Not Reacted to Higher Rates?

Credit spreads have remained broadly resilient to higher rates, as the underlying drivers of the move have not materially challenged the macro or micro backdrop. Initially, the rise in [US 10yr yields was driven predominantly by higher real rates and term premia](#), rather than a more destabilising shift in inflation expectations or the policy outlook, which limited the transmission to spreads. At the same time, investors have leaned into the AI theme, reinforcing expectations of productivity gains and stronger long-term growth. More recently, however, the composition of the move has begun to shift, with early signs of a repricing in long-term inflation expectations. After an initial decline, it began to edge higher again [as negotiations in the Middle East stall](#) and investors increasingly view AI-driven capex as a potential upside risk to inflation - yet [levels remain below 2.5%, still comfortably beneath thresholds](#) that would pose a more challenging rates backdrop for credit. At the same time, investor discussions point to [some fatigue in trading the conflict](#), with repeated shifts in headlines reducing conviction. [Fundamentals remain supportive](#): a "not too hot, not too cold" inflation environment has underpinned nominal earnings growth, complemented by incremental support to consumption from US tax refunds. Finally, [technicals have stayed constructive](#): liquidity in the system is still ample, while higher all-in yields continue to attract demand, particularly from overseas, helping to contain spread widening.

2. How and When Do Credit Spreads Adjust to Higher Rates?

In our view, US credit is unlikely to react meaningfully to higher rates [until breakeven inflation moves](#) into the 2.65-2.75% range, a threshold at which we think investors will begin to question the degree of inflation control and, by extension, the credibility of the current policy path. Despite lower than expected US CPI last week, recent dynamics in supply chains reinforce this risk, with indicators deteriorating sharply ([UBS Global Supply Chain Stress Index +1.2std in March-April](#)), pointing to renewed inflation persistence that could challenge the current benign narrative. So far, markets, which have been pricing a deal in risky assets, still price low odds of a sustained Fed hiking cycle; any change in this would likely trigger a repricing of the rates curve. In such a scenario, we think [the transmission to credit would be non-linear](#): rather than reacting to marginal adjustments, spreads would widen more decisively under a regime shift in monetary policy, where the Fed delivers multiple hikes rather than an adjustment hike. By contrast,

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in Europe, the ECB is set to hike rates next week and the market is already pricing in ~60bp of hike for 2026. Vulnerabilities appear more acute in the region, where [weaker-than-expected growth](#), driven by the energy shock and limited signs of fiscal support for corporates, is not fully reflected in credit spreads.

3. How Much Further Can Spreads Tighten on a Rates Rally?

We see limited room for credit spreads to tighten from here in the event that rates rally. Although a peace deal could reduce short- to medium-term inflation expectations and lead to more dovish central bank messaging, we believe credit valuations already look stretched. On a 1-year basis, US IG/HY spreads are now at the 2nd/3rd percentiles, while EU IG/HY spreads are at 30th/11th percentiles. In US HY, valuations appear broadly stretched at the sector level as well, with 10 out of 16 key sectors trading at spreads below the 25th percentile, although we see slightly more dispersion across sectors in Europe. Additionally, investor positioning appears near extremes across both asset managers and CTAs, leaving limited room for further institutional buying in credit. Using S&P 500 futures as a proxy for credit positioning, we find that asset managers are net long at near-record levels (~95th percentile over 10 years). Meanwhile, UBS's CTA positioning model shows that [credit positioning had plateaued in May](#). Historically, CTA positioning has been negatively correlated with spread tightening following geopolitical resolutions, with the largest spread tightening occurring when CTAs had previously been short credit. Given that CTAs are already long credit, we therefore see limited scope for spreads to rally, even in the event of a near-term deal.

4. Update to Our Trade Portfolio

First, we would emphasise that the portfolio was repositioned early in the conflict to benefit from a higher for longer rates environment, with a clear focus on: (i) maintaining short duration in rates; (ii) anchoring longs in the front end of the credit curve (1-3yr IG); (iii) preserving high quality floating rate exposure (CLO AAA); and (iv) adding decompression trades as a downside hedge (short CDX HY vs. CDX IG). Second, we have actively traded the US vs. EU call year to date - closing our long Europe at the onset of the war, reopening it in early April, and capturing most of the rally back to tights. As of today, however, the valuation case has largely run its course. From a monetary policy perspective, we see materially higher risks of multiple [ECB hikes \(UBSe +50bp in 2026\)](#) relative to the Fed (UBSe -25bp in 2026), which has not reached neutral. In addition, we see (i) increasing EU sensitivity to energy prices, (ii) limited fiscal support (iii) downside risks to growth - even more so in the context of a new hiking cycle from the ECB, and (iv) elevated political uncertainty in Europe/UK as key risks to the view. As a result, we take profit on our Long EU IG vs. US IG spreads and will look to re-enter at more attractive levels.

5. Key Scenarios and Best Associated Trades

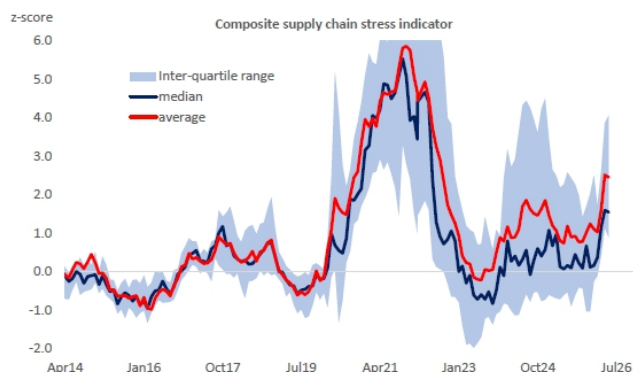
Given the elevated uncertainty among investors around both the trajectory of the Middle East conflict and the outlook for inflation, we believe that thinking about portfolio positioning in scenarios is the best approach, with our top trades varying across each. We outline three scenarios alongside their corresponding trade implications:

Scenario 1: Energy normalises but inflation proves sticky (oil down, rates up) - We like **Short US IG Office REITs vs. Index (duration adj.)** which offers attractive downside convexity to higher rates despite being marginally carry negative. Additionally, valuations in REITs broadly screen tight as the market has played the hard asset trade through the start of the year. During prior stress periods, office REITs consistently underperform vs. other REIT subsectors due to their long-duration cash flow structures, higher leverage vs. other REITs, and rising illiquidity premium in stress.

Scenario 2: Energy normalises and inflation proves transitory (oil down, rates down) - In this scenario, we believe the value lies more in Europe than in the US. We like a **Long EU IG Airlines vs. Index**, which offers significant convexity given the lack of repricing (~14%) since the beginning of the rally in late March-26, positive carry and a slightly long duration structure.

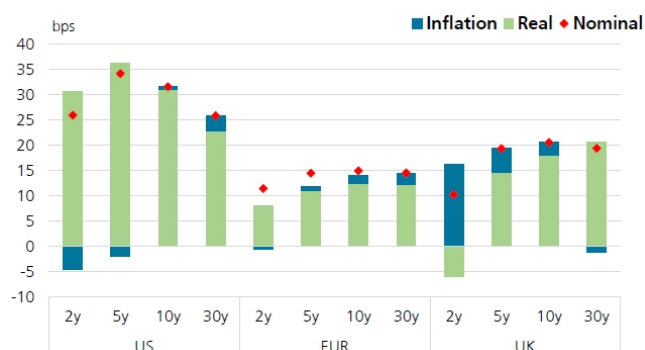
Scenario 3: Strait stays disrupted and inflation proves sticky (oil materially up, rates up) - In this scenario, we would turn more bearish on the consumer which, thus far, has proven resilient despite clear signs of a K shaped economy during the latest round of earnings. We would be **Short US HY Retail vs. Index**, playing for spread underperformance due to a negative growth shock, with a duration neutral and carry positive structure.

Figure 1: Our supply chain stress indicator is surging again. The index rose 1.2 standard deviations in March–April; the second largest two-month increase since the pandemic induced increase in July 2020



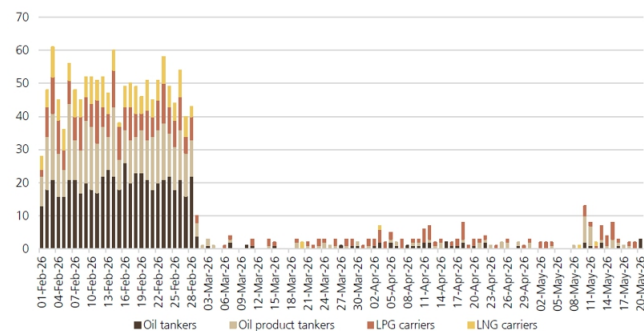
Source: Haver, Bloomberg, UBS calculations

Figure 2: Initially*, the rise in US 10yr yields was driven predominantly by higher real rates rather than a more destabilising shift in inflation expectations or the policy outlook, which limited the transmission to spreads



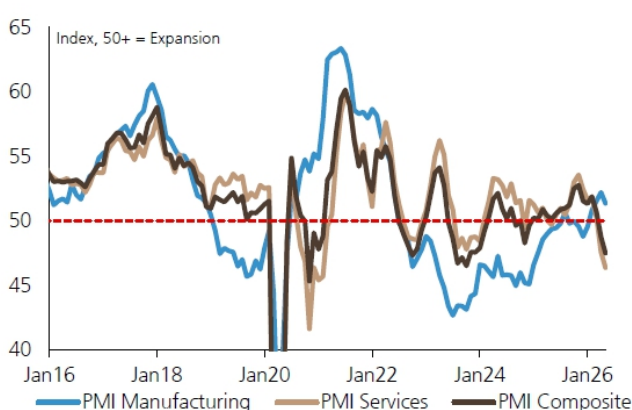
Source: Bloomberg, UBS. *as of May 20

Figure 3: Oil & gas tankers passing through the Strait of Hormuz, in number of ships entering and exiting the Gulf. We saw some optimism in early April but negotiations are stalling



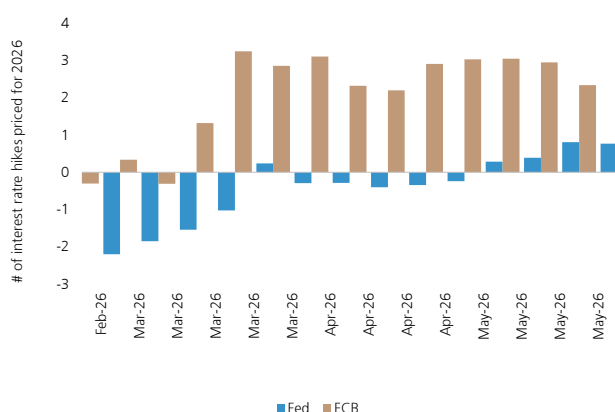
Source: UBS Evidence Lab, includes content supplied by S&P Global Market Intelligence (Maritime & Trade)

Figure 4: Weak May PMIs suggest clear downside risk to Eurozone GDP growth in Q2. We see signs of inventory build up as companies try and anticipate further supply chain disruption



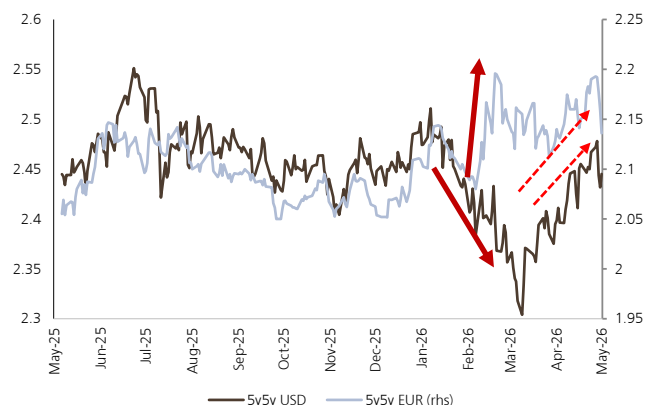
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Figure 5: From a monetary policy perspective, we see materially higher risks of multiple ECB hikes (UBSe +50bp in 2026) relative to the Fed (UBSe -25bp in 2026), which has effectively never reached neutral



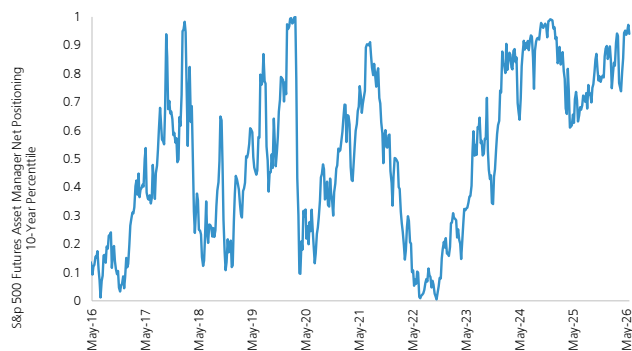
Source: Bloomberg, UBS

Figure 6: Global credit is unlikely to react meaningfully to higher rates until breakeven inflation moves into the 2.65-2.75% range, a threshold at which we think investors will begin to question the credibility of the current policy path



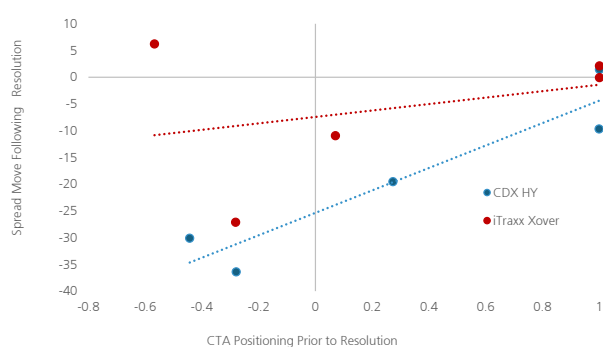
Source: Bloomberg, UBS

Figure 7: Asset manager S&P 500 futures positioning, which we use as a proxy for broader risk positioning, currently sits near 10-year highs. We therefore see limited room for additional institutional buying in credit from here, even if rates rally



Source: UBS, Haver

Figure 8: Historically, the largest spread tightening following geopolitical resolutions has occurred when CTAs had previously been short credit. Current CTA longs in credit suggest limited tightening ahead, even if we see a resolution to the US-Iran conflict



Source: UBS, Bloomberg

Figure 9: USD IG - percentage of spread repricing per sector since Mar-26 peak. All sectors fully retraced (and more) the move wider in March

	Repricing to Peak (Mar-30)	Tightening Since Peak (Mar-30)	
USD IG	16	-19	100%
Basic Industry	5	-22	100%
Capital Goods	7	-16	100%
Communications	2	-15	100%
Consumer Cyclical	9	-20	100%
Consumer Non-Cyclical	5	-16	100%
Energy	4	-20	100%
Technology	4	-20	100%
Transportation	6	-18	100%
Utility	6	-19	100%
Banking	10	-18	100%
Brokerage Asset Managers Exchanges	7	-21	100%
Finance Companies	6	-37	100%
Insurance	4	-27	100%
REITS	9	-20	100%

Source: Bloomberg, UBS

Figure 10: USD HY - percentage of spread repricing per sector since Mar-26 peak. Away from some pockets of idiosyncratic risks, most sectors fully repriced the move wider in March

	Repricing to Peak (Mar-30)	Tightening Since Peak (Mar-30)	
USD HY	55	-71	100%
Basic Industry	46	-104	100%
Capital Goods	64	-71	100%
Communications	62	-47	76%
Cable & Satellite	114	-13	11%
Consumer Cyclical	53	-85	100%
Consumer Non-Cyclical	36	-63	100%
Energy	-14	-59	100%
Technology	0	-110	100%
Transportation	121	-84	70%
Airlines	182	-114	62%
Utility	36	-54	100%
Banking	20	-83	100%
Brokerage Asset Managers Exchanges	20	-108	100%
Finance Companies	70	-109	100%
Insurance	18	-87	100%
REITS	99	-130	100%
Healthcare REITS	228	-193	85%

Source: Bloomberg, UBS

Figure 11: EUR IG - percentage of spread repricing per sector since Mar-26 peak. Airlines and REITs are the two sectors which have lagged the rally of the last two months

	Repricing to Peak (Mar-30)	Tightening Since Peak (Mar-30)	
EUR IG	16	-19	100%
Basic Industry	20	-22	100%
Capital Goods	15	-20	100%
Communications	11	-16	100%
Consumer Cyclical	20	-23	100%
Consumer Non-Cyclical	12	-17	100%
Energy	11	-20	100%
Oil Field Services	28	-15	52%
Other Industrial	19	-21	100%
Technology	14	-18	100%
Transportation	16	-15	92%
Airlines	25	-4	14%
Utility	13	-15	100%
Banking	16	-21	100%
Insurance	17	-20	100%
REITS	30	-24	82%
Healthcare REITS	48	-43	89%
Office REITS	27	-20	73%
Retail REITS	28	-21	77%
Other REITS	31	-26	86%
Other Financial	29	-23	81%

Source: Bloomberg, UBS

Figure 12: EUR HY - percentage of spread repricing per sector since Mar-26 peak. Despite the index level spread being close to all-time tight, some small hard assets segments have not repriced in April/May

	Repricing to Peak (Mar-30)	Tightening Since Peak (Mar-30)	
EUR HY	55	-61	100%
Basic Industry	61	-166	100%
Capital Goods	66	-47	71%
Construction Machinery	104	-56	54%
Communications	40	-30	75%
Cable & Satellite	44	-17	38%
Consumer Cyclical	76	-107	100%
Consumer Non-Cyclical	47	-44	95%
Energy	18	-57	100%
Technology	21	-182	100%
Transportation	59	-54	92%
Airlines	74	-57	77%
Railroads	35	-25	72%
Utility	29	-12	43%
Other Utility	28	6	20%
Banking	34	-25	73%
Insurance	-9	-24	100%
REITS	100	-12	12%
Healthcare REITS	94	11	11%
Office REITS	377	58	15%

Source: Bloomberg, UBS

Valuation Method and Risk Statement

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